OurMocks

2027 CYCLE

MOCK · PRACTICE · CRACK

CUET UG

Business Studies

Financial Markets

Unit X · Financial Markets & Capital Institutions · CUET UG 2027 Complete Mastery

INSIDE
Concept Notes

INSIDE
Solved Examples

INSIDE
Practice MCQs + Solutions

Aligned to the latest official syllabus · Concept-first explanations

www.ourmocks.com

Syllabus Alignment & Chapter Architecture

Sub-Topic Domain	Official NTA CUET UG Unit X Syllabus Scope	High-Frequency Cognitive Skills Tested
Concept & Functions	Meaning, allocative function, four core functions (mobilisation of savings, price discovery, liquidity, reducing transaction costs).	Differentiating financial intermediaries; analyzing how market forces determine financial security prices.
Money Market Instruments	Short-term money market; detailed features of 5 instruments: T-Bills, Commercial Paper, Call Money, Certificate of Deposit, Commercial Bill.	Identifying instruments from operational vignettes; bridge financing applications; CRR maintenance via Call Money.
Capital Market: Primary & Secondary	Primary market methods of floatation (prospectus, offer for sale, private placement, rights issue, e-IPO); Secondary market functions.	Evaluating floatation channels; calculating rights issue entitlements; comparing primary vs secondary markets.
Trading & Settlement Procedure	Screen-based trading pipeline; broker selection, Demat account, order placement, execution, Contract note (UCC), T+1 settlement.	Sequential ordering of stock exchange trading stages; Dematerialisation vs Rematerialisation; NSDL & CDSL roles.
SEBI Architecture	Reasons for establishment, objectives, and threefold functional classification (Regulatory, Development, Protective functions).	Categorizing real-world enforcement actions into Regulatory, Development, or Protective functions; detecting insider trading & price rigging.

CUET HIGH-SCORING INSIGHT & KEY COGNITIVE TRAPS

Questions in Unit X test precise NCERT definitions and functional classifications:

1. **Bridge Financing:** The short-term funds raised via **Commercial Paper (CP)** to meet the **floatation costs** of issuing long-term securities (e.g., brokerage, underwriting fees for an equity issue).
2. **Call Money & CRR:** Commercial banks borrow **Call Money** (1 to 15 days) strictly to comply with RBI's statutory **Cash Reserve Ratio (CRR)** mandates.
3. **Zero Coupon Bonds: Treasury Bills (T-Bills)** are zero-coupon bonds issued at a discount and redeemed at par by RBI on behalf of the Central Government.
4. **Contract Note Timing:** The broker must issue the official Contract Note within **24 hours** of trade execution, bearing the Unique Client Code (UCC).
5. **SEBI Functions:** Categorizing actions is high-yield in CUET: Banning insider trading or price rigging = **Protective**; Registering brokers or mutual funds = **Regulatory**; Training intermediaries or promoting internet trading = **Development**.

Concept & Epistemological Nature of Financial Markets

A financial market is an institutional framework that facilitates the creation and exchange of financial assets such as shares, debentures, treasury bills, and commercial papers. It serves as the primary allocative transmission mechanism in modern economic systems.

The Allocative Function & Financial Intermediation

In any macroeconomic system, there are two primary sectors:

- **Surplus Units (Households / Savers):** Entities that save a proportion of their periodic disposable income.
- **Deficit Units (Business Enterprises / Investors):** Commercial corporations and government bodies that require investible capital to fund productive economic ventures.

Financial markets perform the **allocative function** by channeling savings from surplus households into productive deficit corporate investments. This allocation occurs via two competing channels of **financial intermediation**:

1. **The Banking System:** Households deposit funds in commercial banks, which subsequently extend loans to businesses.
2. **Financial Markets:** Households invest directly in corporate securities issued in capital and money markets.

The Four Cardinal Functions of Financial Markets

NCERT delineates four vital institutional contributions rendered by financial markets:

1. **Mobilisation of Savings and Channeling Them into Productive Uses:** Financial markets provide savers with a spectrum of investment alternatives, offering financial yields that incentivize capital accumulation and accelerate national capital formation.
2. **Facilitating Price Discovery:** The interaction between the demand for funds (represented by commercial enterprises) and the supply of funds (provided by household savers) establishes the equilibrium market price for financial securities.
3. **Providing Liquidity to Financial Assets:** Financial markets operate as continuous trading mechanisms where investors can readily convert securities into cash, and vice versa, without enduring severe capital haircuts.
4. **Reducing the Cost of Transactions:** By consolidating trading information onto transparent, centralized platforms, financial markets save market participants enormous expenditures of time, search effort, and diligence costs.

OurMocks

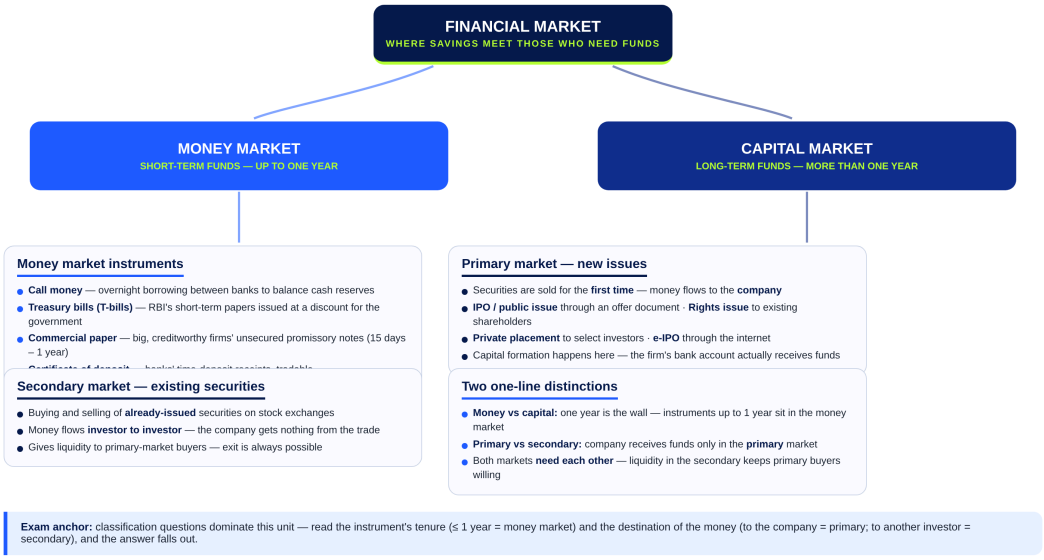


Figure 1: Hierarchical Knowledge Architecture: Financial Markets, Sub-Markets, and Structural Components

The Money Market & The Five Landmark Instruments

The money market is a wholesale market for short-term financial assets that possess high liquidity and maturities of **up to one year**. It has no physical trading floor; transactions are conducted electronically or via telephone networks among major financial institutions.

Major Market Participants

The money market comprises institutional giants: the Reserve Bank of India (RBI), Commercial Banks, Non-Banking Financial Companies (NBFCs), State Governments, Public Sector Undertakings (PSUs), Large Corporates, and Mutual Funds.

Detailed Analysis of the Five Money Market Instruments

1. Treasury Bills (T-Bills / Zero Coupon Bonds)

- **Issuer:** Issued by the Reserve Bank of India (RBI) on behalf of the Central Government of India to fund short-term fiscal deficits.
- **Maturity Tenures:** Issued in standard maturities of 91 days, 182 days, and 364 days.
- **Mechanism:** T-Bills are **Zero Coupon Bonds**—they carry no coupon (interest) rate. Instead, they are issued at a **discount** to their face value and redeemed at **par** (e.g., a ₹1,00,000 T-Bill issued at ₹96,000 provides a ₹4,000 yield at maturity).
- **Minimum Denomination:** Available in a minimum denomination of **₹25,000** and in multiples thereof.
- **Default Risk:** Negligible default risk (sovereign guarantee).

2. Commercial Paper (CP)

- **Origin & Nature:** Introduced in India in 1990 as an unsecured promissory note with a fixed maturity ranging from **15 days to 1 year**.
- **Issuer:** Issued exclusively by large, highly rated, creditworthy corporate enterprises.
- **Core Purpose:**
  - **Seasonal Working Capital:** Meeting temporary operational spikes in cash demand.

- **Bridge Financing:** Meeting the initial **floatation costs** (brokerage, underwriting commission, prospectus printing) incurred when launching long-term equity or debenture issues.

3. Call Money / Notice Money

- **Nature:** Extremely short-term finance repayable on demand, with a maturity period of **1 day to 15 days**.
- **Participants:** Inter-bank transaction mechanism among commercial banks.
- **Purpose:** Commercial banks borrow Call Money from cash-surplus banks to maintain the statutory **Cash Reserve Ratio (CRR)** mandated by RBI regulations.
- **Call Rate Volatility:** The interest rate paid on call loans is called the **Call Rate**. It is exceptionally volatile, fluctuating from hour to hour and displaying an inverse relationship with other short-term money market yields.

4. Certificate of Deposit (CD)

- **Nature:** Unsecured, negotiable bearer instruments issued in dematerialized form.
- **Maturity:** 91 days to 1 year when issued by commercial banks; 1 to 3 years when issued by Development Financial Institutions (DFIs).
- **Issuer:** Issued by Scheduled Commercial Banks and All-India Financial Institutions (IDBI, IFCI, SIDBI).
- **Economic Role:** Mobilizes large institutional deposits from corporate treasuries and trusts during periods of tight market liquidity or when bank deposit growth is sluggish while credit demand is surging.

5. Commercial Bill (Trade Bill / Bill of Exchange)

- **Nature:** A bill of exchange drawn by a seller (drawer) on a buyer (drawee) against credit sales of goods.
- **Mechanism:** Upon delivery of merchandise, the seller draws a trade bill; the buyer accepts it by signing, creating a legally binding financial claim.
- **Liquidity Function:** The seller can hold the bill until its maturity (typically 30, 60, or 90 days) or immediately **discount it with a commercial bank** to secure instant cash liquidity.

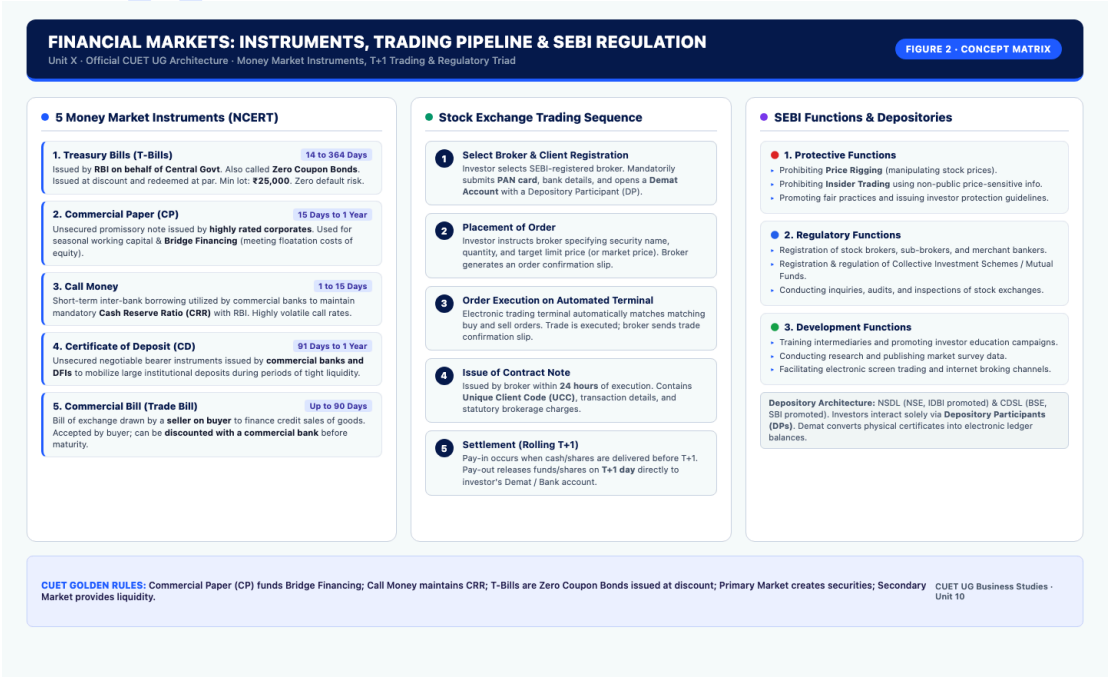


Figure 2: Comparative Matrix: Money Market Instruments, Trading Pipeline & SEBI Functional Triad

The Capital Market: Primary Market and Secondary Market

The capital market consists of facilities and institutional arrangements through which long-term funds (both debt and equity) are raised and invested. Its maturity profile extends beyond one year.

Primary Market (New Issues Market - NIM)

The primary market deals with the issuance of **brand-new securities** directly from issuing companies to investors. It directly contributes to national capital formation.

The Five Methods of Floatation in Primary Market

1. **Offer Through Prospectus:** The most popular method for public companies. Direct public invitation through a statutory prospectus complying with Companies Act and SEBI regulations. Heavily underwritten by financial syndicates.
2. **Offer for Sale:** The issuing corporation sells the entire block of newly issued securities to an intermediary (issuing house or merchant bank) at an agreed price. The intermediary subsequently resells the securities to the general public at a higher offer price.
3. **Private Placement:** The company allocates securities directly to selected institutional investors (LIC, UTI, GIC, banks, venture capital funds) and high-net-worth individuals. Avoids public issue expenses and speeds up capital procurement.
4. **Rights Issue:** A statutory privilege offered to existing equity shareholders (under Section 62 of Companies Act) to subscribe to new share issues in proportion to their existing shareholding. Preserves existing voting control.
5. **e-IPOs (Electronic Initial Public Offerings):** A company issues shares to the public through the online automated trading terminal of a recognized stock exchange, appointing registered brokers to accept applications.

Secondary Market (Stock Exchange)

The secondary market is the market for the purchase and sale of **existing, previously issued securities**. It provides liquidity and marketability to existing investments, allowing investors to exit or re-enter corporate assets at will.

Analytical Parameter	Primary Market (New Issues)	Secondary Market (Stock Exchange)
Nature of Securities	New securities issued for the very first time.	Existing, previously issued securities traded between investors.
Transaction Parties	Direct transfer: Company to Investor.	Indirect transfer: Investor to Investor (via broker).
Direct Capital Formation	Promotes direct capital formation; funds flow to company.	Provides liquidity; does not contribute new funds to company.
Price Determination	Fixed by management and merchant bankers (or book building).	Determined dynamically by market demand and supply forces.
Geographical Location	No fixed physical location; operations routed via syndicates.	Operates through recognized stock exchanges (BSE, NSE).
Buying vs Selling	Investors can only buy securities; cannot sell back to firm.	Both buying and selling occur continuously.

Screen-Based Trading and Settlement Procedure

Stock exchanges in India have migrated entirely to automated, nationwide, screen-based electronic trading platforms (NEAT on NSE and BOLT on BSE).

The Five Chronological Steps of the Trading Pipeline

1. **Selection of a Broker and Client Registration:**
   - The investor selects a SEBI-registered broker (or sub-broker).
   - **Mandatory KYC Documentation:** Permanent Account Number (**PAN card** is statutory), residential proof, bank account details, and client agreement form.
   - Opening of two mandatory accounts: a **Trading Account** (with the stock broker) and a **Demat Account** (with a Depository Participant).
2. **Placement of the Order:**
   - The investor instructs the broker to purchase or sell a specified security, stating security name, exact quantity, and target limit price (or market price).
   - The broker enters the order into the electronic trading terminal, which generates an **Order Confirmation Slip**.
3. **Execution of the Order:**
   - The electronic central order book automatically matches the investor's buy/sell order with a matching counterparty order on price-time priority.
   - Once matched, the trade is electronically executed, and the broker receives a **Trade Confirmation Slip**.
4. **Issue of Contract Note:**
   - The broker must issue a legally binding **Contract Note** within **24 hours** of trade execution.
   - **Mandatory Elements:** Trade timestamp, name of security, quantity traded, execution price, brokerage charges, and the client's **Unique Client Code (UCC)**. The contract note is admissible as legal evidence in arbitration disputes.
5. **Settlement (Rolling T+1 Cycle):**
   - **Pay-in Day:** The day when the selling investor delivers shares and the buying investor delivers cash to the broker prior to clearing house cutoff.
   - **Pay-out Day:** The day when the clearing house releases funds to the seller's broker and securities to the buyer's broker.
   - **Rolling Settlement Standard:** In India, equity trades are settled on a strict $\boldsymbol{T+1}$ **basis** (Transaction Day plus 1 business day).

Depository Services: Dematerialisation & Depositories

A depository is an institution that holds financial securities in electronic form on behalf of investors.

- **The Two National Depositories:**
  - **NSDL (National Securities Depository Limited):** Established in 1996; promoted by NSE, IDBI, and UTI; first depository in India.
  - **CDSL (Central Depository Services Limited):** Established in 1999; promoted by BSE, State Bank of India, and Bank of India.
- **Depository Participant (DP):** The operational agent and interface between the depository and individual investors (e.g., commercial banks, stock brokers, NBFCs). An investor never interacts with NSDL or CDSL directly.

- **Dematerialisation (Demat):** The electronic process through which physical paper share certificates are surrendered and credited as electronic account balances.
- **Rematerialisation (Remat):** The reverse process through which electronic share credits are reconverted into physical paper certificates.

Securities and Exchange Board of India (SEBI)

The Securities and Exchange Board of India was constituted as an administrative body in 1988 and conferred statutory regulatory authority on January 30, 1992, through the enactment of the **SEBI Act, 1992**.

Fundamental Objectives of SEBI

- **Protecting Investors:** Safeguarding the legal rights and financial interests of investors through transparency and grievance redressal mechanisms.
- **Promoting Market Development:** Promoting fair and efficient securities market practices and modern electronic infrastructure.
- **Regulating Stock Exchanges:** Preventing market malpractices, ensuring competitive integrity, and enforcing statutory compliance among intermediaries.

The Threefold Functional Classification of SEBI

NCERT categorizes SEBI's statutory duties into three functional domains:

1. Regulatory Functions

- Registration of stock brokers, sub-brokers, merchant bankers, underwriters, registrars, and portfolio managers.
- Registration and regulation of Mutual Funds and Collective Investment Schemes (CIS).
- Regulating substantial corporate acquisitions and takeovers of companies.
- Conducting periodic audits, inquiries, and inspections of recognized stock exchanges and financial intermediaries.
- Levying statutory regulatory fees and examination charges.

2. Development Functions

- Imparting comprehensive professional training to market intermediaries and brokers.
- Conducting market research and publishing informative analytical surveys.
- Introducing flexible trading frameworks, internet-based stock trading, and electronic order matching systems.
- Promoting self-regulatory organizations (SROs) among market participants.

3. Protective Functions

- **Prohibition of Price Rigging:** Curbing artificial manipulation of security prices designed to inflate or depress stock values.
- **Prohibition of Insider Trading:** Barring company directors, executives, or substantial shareholders from utilizing unpublished, price-sensitive corporate information to execute trades for private illicit profit.
- Promoting fair business practices, enforcing codes of ethical conduct, and conducting intensive investor education awareness campaigns.

OurMocks

Contemporary Corporate Case Studies in Financial Markets

Case Study 1: SEBI's Surveillance Against Front Running & Insider Trading

In recent regulatory crackdowns (e.g., the Axis Mutual Fund dealer front-running investigation), SEBI deployed algorithmic big-data analytics to detect coordinated trading patterns.

- **Enforcement Mechanism:** Unregistered entities and dealers were caught purchasing shares immediately prior to massive institutional fund orders, artificially inflating prices. SEBI seized unlawful gains, barred wrongdoers, and levied heavy penalties under its **Protective Functions**.

Case Study 2: India's Global Leadership in T+1 and T+0 Settlement

While major Western stock exchanges (including Wall Street) operated on T+2 settlement for decades, India successfully pioneered the transition to $\boldsymbol{T+1}$ **rolling settlement** across all listed equities in January 2023, followed by beta testing of $\boldsymbol{T+0}$ **instant settlement**.

- **Market Impact:** Drastically reduced counterparty settlement risk, freed up billions in clearing collateral, and enhanced foreign institutional investor confidence.

Comparative Analysis of the Five Money Market Instruments

Instrument	Issuing Authority	Maturity Tenure	Min. Lot Size	Primary Economic Objective
Treasury Bills (T-Bills)	RBI (on behalf of Central Govt)	14 to 364 days (91, 182, 364)	₹25,000 (and multiples)	Short-term sovereign borrowing; zero default risk.
Commercial Paper (CP)	Large creditworthy corporates	15 days to 1 year	₹5,00,000 (standard)	Seasonal working capital & Bridge Financing for equity issues.
Call Money	Scheduled commercial banks	1 to 15 days	No statutory min (interbank)	Maintaining statutory Cash Reserve Ratio (CRR) with RBI.
Certificate of Deposit (CD)	Commercial banks and DFIs	91 days to 1 year (banks)	₹1,00,000 (and multiples)	Mobilizing large institutional deposits during tight liquidity.
Commercial Bill	Seller / Drawer on Buyer	30 to 90 days (standard)	Value of merchandise	Financing working capital credit sales; bank discounting.

Stock Market Indices: BSE SENSEX and NSE NIFTY 50

A stock market index is a composite statistical aggregate that measures the general price movements and overall sentiment of the capital market.

1. BSE SENSEX (Sensitive Index)

- **Origin & Inception:** Formulated in 1986 by the Bombay Stock Exchange (BSE), the oldest stock exchange in Asia (founded in 1875 as 'The Native Share and Stock Brokers' Association').
- **Composition:** Consists of **30 financially sound, highly liquid, and prominent companies** representing key industrial sectors.
- **Base Year:** Base year is **1978–79**, with a base index value established at **100**.

2. NSE NIFTY 50 (National Index Fifty)

- **Origin & Inception:** Introduced in 1996 by the National Stock Exchange of India (NSE), which pioneered screen-based computerized trading in India.
- **Composition:** Consists of **50 blue-chip stocks** accounting for a dominant share of total free-float market capitalization.
- **Base Period:** Base period is **November 3, 1995**, with a base index value fixed at **1,000**.

Free-Float Market Capitalization Methodology

Modern indices like SENSEX and NIFTY utilize the **Free-Float Market Capitalization** method.

$$\text{Free-Float Market Cap} = \text{Total Shares Outstanding} \times \text{Market Price} \times \text{Free-Float Factor}$$

The free-float factor excludes locked-in promoter holdings, government stakes, strategic cross-holdings, and employee welfare trusts, reflecting only those shares readily available for daily market trading by the general public.

Institutional Architecture: Clearing Corporation & Trade Novation

In screen-based stock exchanges, trade settlement integrity is guaranteed by specialized clearing corporations (e.g., National Securities Clearing Corporation Limited - NSCCL / NSE Clearing, and Indian Clearing Corporation Limited - ICCL).

The Principle of Trade Novation

- **Novation Mechanism:** Once a trade is executed, the clearing corporation steps between the buyer and seller through legal **novation**. It becomes the buyer to every seller and the seller to every buyer.
- **Elimination of Counterparty Risk:** Even if an individual trading member or investor defaults on their pay-in obligation (fails to deliver cash or shares), the clearing corporation guarantees full settlement to the counterparty out of its Settlement Guarantee Fund (SGF).

Demutualisation and Corporatisation of Indian Stock Exchanges

Historically, Indian stock exchanges functioned as association of persons (AOPs) or non-profit clubs owned and managed by the brokers themselves. This historical structure created severe conflicts of interest, where broker-directors accessed insider trading data and manipulated surveillance protocols.

1. Concept of Demutualisation

Demutualisation is the institutional process through which a member-owned, mutual stock exchange is transformed into a shareholder-owned, corporate joint-stock entity.

- **The Tripartite Separation:** Demutualisation strictly segregates three distinct corporate dimensions:
  1. **Ownership Rights:** Owned by general public and institutional shareholders.
  2. **Management Rights:** Governed by an independent Board of Directors dominated by public interest directors.
  3. **Trading Rights:** Conferred upon certified trading members (brokers) who possess zero management control.

2. Inception of the National Stock Exchange (NSE)

The establishment of the National Stock Exchange of India (NSE) in 1992 marked a revolutionary watershed in the history of Indian financial markets:

- **Institutional Promotion:** Promoted by premier financial institutions (IDBI, ICICI, IFCI, LIC, GIC, SBI) as the nation's first fully demutualised, screen-based, electronic exchange.
- **Technological Breakthrough:** Eliminated traditional physical trading rings (open outcry pit trading) and introduced nationwide satellite-linked trading (VSAT network) through NEAT (National Exchange for Automated Trading).
- **Market Segments:** Operates two primary market segments:
  - **Wholesale Debt Market (WDM):** For trading government securities, treasury bills, corporate bonds, and commercial paper.
  - **Capital Market (CM) & Derivatives:** For trading equity shares, preference shares, debentures, and index futures/options.

OurMocks

Chapter Synthesis & Cognitive Mindmap

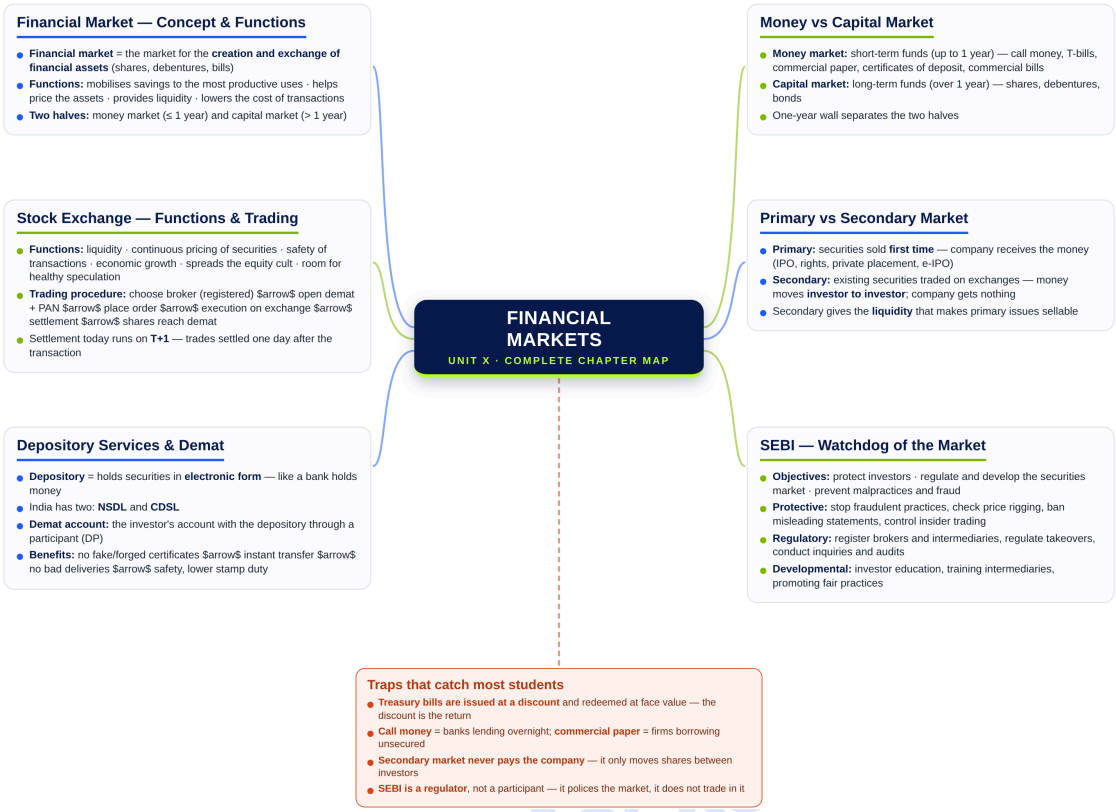


Figure 3: Hierarchical Knowledge Architecture: Financial Markets, Instruments, Trading Pipeline, and SEBI Triad

CUET HIGH-YIELD MEMORY HOOKS & EPISTEMIC ASSOCIATIONS

- **Allocative Function:** Directing household surplus savings into the most productive corporate investments.
- **T-Bills:** Zero-coupon bonds issued at discount by RBI on behalf of GoI; min denomination ₹25,000; zero default risk.
- **Commercial Paper (CP):** Unsecured promissory note (15 days to 1 year) issued by blue-chip corporates for seasonal needs and **Bridge Financing** (meeting floatation costs).
- **Call Money:** Inter-bank borrowing (1 to 15 days) used by commercial banks to maintain mandatory **Cash Reserve Ratio (CRR)**.
- **Primary vs Secondary:** Primary market creates new securities (direct capital formation); Secondary market trades existing securities (provides liquidity).
- **Floatation Methods:** Offer through Prospectus, Offer for Sale (via issuing houses), Private Placement (institutional), Rights Issue (existing shareholders), e-IPO.
- **Trading Pipeline:** Broker selection & PAN/Demat → Order placement → Electronic matching → Contract Note (within 24 hrs, UCC) → Settlement ($T+1$).
- **Depositories:** NSDL (NSE) and CDSL (BSE). Investors interact only via **Depository Participants (DPs)**.
- **SEBI Triad:** Regulatory (registrations, audits, fees); Development (training, internet trading); Protective (insider trading ban, price rigging ban, investor education).

MASTER STRATEGY CHEATSHEET — FINANCIAL MARKETS

1. Core Market Types:

- Money Market: Short-term (up to 1 yr); high liquidity; RBI, banks, DFIs, large corporates.
- Capital Market: Long-term (above 1 yr); Primary (new issues) and Secondary (stock exchange).

2. The 5 Money Market Instruments:

- T-Bills: Issued by RBI, min ₹25,000, zero coupon.
- CP: 15 days to 1 yr, unsecured, bridge financing for floatation costs.
- Call Money: 1 to 15 days, inter-bank, CRR maintenance.
- CD: 91 days to 1 yr, bank issued, tight liquidity periods.
- Commercial Bill: Trade bill, drawn by seller on buyer, discounted with bank.

3. Primary Market Floatation Channels:

- Prospectus (public); Offer for Sale (brokers); Private Placement (institutions); Rights Issue (existing holders); e-IPO (online).

4. Trading & SEBI Essentials:

- PAN is mandatory; Contract Note issued within 24 hours with UCC; Rolling Settlement on $T+1$ basis.
- SEBI: Established 1988, statutory 1992. Three functions: Protective, Regulatory, Development.

THE SEVEN FATAL CUET TRAPS — FINANCIAL MARKETS

- **Trap 1: Bridge Financing Instrument:** It is strictly **Commercial Paper (CP)**, NOT Commercial Bills or Treasury Bills.
- **Trap 2: Why Banks Borrow Call Money:** Strictly to maintain **Cash Reserve Ratio (CRR)** mandates of RBI, NOT for capital expenditure.
- **Trap 3: T-Bills Return Mechanism:** T-Bills do NOT carry an explicit interest rate; they are **Zero Coupon Bonds** issued at a discount and redeemed at par.
- **Trap 4: Contract Note Deadline:** The broker must issue the Contract Note within **24 hours** of trade execution, NOT 48 hours or end of month.
- **Trap 5: Depository Interaction:** Investors NEVER open accounts directly with NSDL or CDSL; they open accounts with **Depository Participants (DPs)**.
- **Trap 6: Primary vs Secondary Capital:** Primary market contributes **directly** to capital formation; secondary market provides **liquidity** to existing holders.
- **Trap 7: SEBI Function Identification:** Prohibiting insider trading or price rigging is **Protective**; registering mutual funds is **Regulatory**; training brokers is **Development**.

Exam-Style Practice Questions & Detailed Solutions

Part 1: High-Yield Conceptual Foundations & Money Market (Q1 to Q5)

Q1. A large manufacturing corporation plans to raise ₹200 crores through a public equity share issue. To pay for the mandatory floatation costs (underwriting commission, brokerage, prospectus printing, and advertising), the financial manager issues short-term unsecured promissory notes with a maturity of 90 days. This financial operation is technically known as:

(A) Cash Credit Financing
(B) Bridge Financing
(C) Factoring Services
(D) Lease Financing

Sol. Q1. Commercial Paper & Bridge Financing:

- **Commercial Paper (CP)** is an unsecured promissory note used by creditworthy corporations.
- When CP is issued specifically to raise short-term funds to cover the initial **floatation costs** of launching long-term equity or debenture securities, the mechanism is known as **Bridge Financing**.

Therefore, this operation is called **Bridge Financing** (Option B). **Answer: (B)**

Q2. Which of the following money market instruments is an inter-bank short-term borrowing arrangement utilized by commercial banks strictly to maintain their statutory Cash Reserve Ratio (CRR) with the Reserve Bank of India?

(A) Call Money
(B) Commercial Paper
(C) Treasury Bill
(D) Certificate of Deposit

Sol. Q2. Call Money Purpose:

- **Call Money** is an inter-bank borrowing mechanism with a maturity period of 1 to 15 days.
- Commercial banks borrow Call Money from each other to manage day-to-day liquidity and maintain their statutory **Cash Reserve Ratio (CRR)** as mandated by the RBI.

Therefore, this instrument is **Call Money** (Option A). **Answer: (A)**

Q3. With reference to Treasury Bills (T-Bills) issued in India, which of the following assertions is factually and epistemologically correct?

(A) T-Bills carry a fixed annual coupon interest rate of 8.5%
(B) T-Bills are issued exclusively by private commercial banks
(C) T-Bills are zero coupon bonds issued at a discount and redeemed at face value by RBI on behalf of the Central Government
(D) The minimum investment denomination for a Treasury Bill is ₹1,000

Sol. Q3. Treasury Bills (T-Bills) Features:

- T-Bills are issued by the Reserve Bank of India on behalf of the Government of India.
- They are **Zero Coupon Bonds**—they carry no stated interest rate, but are issued at a **discount** to face value and redeemed at **par**.
- The minimum denomination is **₹25,000** (and multiples thereof).

Therefore, Option C is completely correct. **Answer: (C)**

Q4. Arrange the following stages of the screen-based trading procedure on an Indian stock exchange in their correct chronological sequence: I. Issue of Contract Note by the broker within 24 hours II. Selection of a broker and submission of PAN details III. Electronic matching and execution of order on trading terminal IV. Placement of order specifying security name and price V. Rolling settlement on T+1 basis Choose the correct sequence from the options below:

(A) II → IV → III → I → V
(B) IV → II → III → I → V
(C) II → III → IV → I → V
(D) II → IV → I → III → V

Sol. Q4. Trading Pipeline Sequence:

1. Selection of a broker & KYC/PAN registration (II)
2. Placement of order (IV)
3. Matching & execution on automated terminal (III)
4. Issue of Contract Note with UCC within 24 hours (I)
5. Settlement on T+1 rolling basis (V)

Therefore, the correct sequence is II → IV → III → I → V (Option A). **Answer: (A)**

Q5. An enterprise sells industrial valves worth ₹15,00,000 on 60-day credit to an engineering contractor. To obtain immediate operating funds without waiting for the 60-day credit period to expire, the seller draws a negotiable instrument that is accepted by the buyer and immediately discounted with a commercial bank. This instrument is a:

(A) Treasury Bill
(B) Commercial Paper
(C) Commercial Bill (Trade Bill)
(D) Certificate of Deposit

Sol. Q5. Commercial Bill / Trade Bill:

- A **Commercial Bill** (or trade bill) is a bill of exchange drawn by a seller on a buyer against credit sales of merchandise.
- Upon acceptance by the drawee (buyer), the drawer (seller) can **discount it with a commercial bank** prior to maturity to obtain immediate cash.

Therefore, this instrument is a **Commercial Bill** (Option C). **Answer: (C)**

Part 2: Applied Capital Markets & Primary Floatation (Q6 to Q10)

Q6. A fast-growing pharmaceutical company decides to raise fresh capital by inviting existing equity shareholders to subscribe to new shares in the ratio of 1 new share for every 4 shares currently held. Under the Companies Act, this method of floatation in the primary market is classified as:

(A) Offer for Sale
(B) Rights Issue
(C) Private Placement
(D) e-IPO

Sol. Q6. Rights Issue:

- Under Section 62 of the Companies Act, an existing company offering new shares must first offer them to existing equity shareholders in proportion to their existing shareholdings.
- This statutory pre-emptive privilege is called a **Rights Issue**.

Therefore, this floatation method is a **Rights Issue** (Option B). **Answer: (B)**

Q7. Which of the following statements accurately characterizes the core economic distinction between the Primary Market and the Secondary Market?

(A) Primary market provides continuous liquidity, whereas secondary market creates new securities
(B) Primary market prices fluctuate second-by-second based on demand, whereas secondary market prices are fixed by company boards
(C) Primary market trades are routed through NSDL, whereas secondary market trades bypass depositories
(D) Primary market directly contributes to capital formation by funding enterprises, whereas secondary market provides liquidity to existing securities

Sol. Q7. Primary vs Secondary Market:

- The **Primary Market** facilitates direct capital formation because funds flow directly from savers to business enterprises for expansion.
- The **Secondary Market** does not create fresh corporate capital; rather, it provides a continuous, liquid exit and entry mechanism for existing security holders.

Therefore, Option D accurately describes this core distinction. **Answer: (D)**

Q8. An established commercial bank faces a seasonal surge in loan demand from corporate borrowers while household retail deposit growth remains subdued. To mobilize substantial institutional funds from large corporations and mutual funds for a 6-month tenure, the bank should issue:

(A) Certificates of Deposit (CD)
(B) Treasury Bills
(C) Commercial Bills
(D) Equity Shares on Rights Basis

Sol. Q8. Certificates of Deposit (CD):

- **Certificates of Deposit** are unsecured negotiable bearer instruments issued by Scheduled Commercial Banks to mobilize large sums of short-term funds during periods of tight market liquidity.
- They are purchased primarily by corporations, trusts, and mutual funds for periods between 91 days and 1 year.

Therefore, the bank should issue **Certificates of Deposit** (Option A). **Answer: (A)**

Q9. Match the method of floatation in Column I with its operational mechanism in Column II:

Column I (Method)	Column II (Operational Mechanism)
A. Offer Through Prospectus	1. Securities sold to issuing house/brokers who resell to public
B. Offer for Sale	2. Direct invitation to public via formal statutory prospectus
C. Private Placement	3. Offered directly to existing shareholders in proportion to holdings
D. Rights Issue	4. Direct allotment to selected institutional investors and HNIs

Choose the correct matching code:

(A) A-1, B-2, C-4, D-3
(B) A-2, B-4, C-1, D-3
(C) A-2, B-1, C-4, D-3
(D) A-3, B-1, C-2, D-4

Sol. Q9. Methods of Floatation Matching:

- Offer Through Prospectus: Direct invitation to public via statutory prospectus (A-2).
- Offer for Sale: Securities sold to issuing house/brokers who resell to public (B-1).
- Private Placement: Direct allotment to selected institutional investors and HNIs (C-4).
- Rights Issue: Offered to existing shareholders in proportion to holdings (D-3).

Therefore, the correct matching code is A-2, B-1, C-4, D-3 (Option C). **Answer: (C)**

Q10. Within what statutory time limit must a registered stock broker issue the official Contract Note to an investor following the electronic execution of an order on a stock exchange?

(A) Within 12 hours of execution
(B) Within 24 hours of execution
(C) Within 48 hours of execution
(D) At the end of the calendar month

Sol. Q10. Contract Note Delivery Deadline:

- Under SEBI regulations, a stock broker must issue the legally binding **Contract Note** to the client **within 24 hours** of trade execution.
- The Contract Note must contain the Unique Client Code (UCC), order details, execution price, and statutory brokerage charges.

Therefore, the statutory limit is **within 24 hours** (Option B). **Answer: (B)**

Part 3: Advanced Evaluative & Regulatory Scenarios (Q11 to Q15)

Q11. A group of rogue corporate insiders and speculators secretly coordinate buy orders among themselves at progressively higher price bids to create an artificial appearance of heavy market trading and pump up the stock price before dumping their holdings on retail investors. This illegal market malpractice is termed:

(A) Bridge Financing
(B) Dematerialisation
(C) Rematerialisation
(D) Price Rigging

Sol. Q11. Price Rigging:

- **Price Rigging** is the illegal practice of artificially manipulating security prices (either inflating or depressing them) through collusive trading, wash sales, or false reporting to mislead the investing public.
- Prohibiting price rigging is a core **Protective Function** of SEBI.

Therefore, this malpractice is called **Price Rigging** (Option D). **Answer: (D)**

Q12. Consider the following regulatory actions undertaken by the Securities and Exchange Board of India (SEBI): Action I: Levying statutory registration and inspection fees on registered merchant bankers. Action II: Imposing trading bans and heavy monetary penalties on corporate directors for trading shares using unpublished quarterly financial results. Classify these actions into SEBI's functional categories:

(A) Action I is Protective; Action II is Regulatory
(B) Action I is Regulatory; Action II is Protective
(C) Both Action I and Action II are Development functions
(D) Both Action I and Action II are Protective functions

Sol. Q12. SEBI Functional Classification:

- Action I (levying statutory fees and inspecting intermediaries) is a **Regulatory Function**.
- Action II (penalizing insider trading using unpublished price-sensitive information) is a **Protective Function**.

Therefore, **Action I is Regulatory; Action II is Protective** (Option B). **Answer: (B)**

Q13. Which of the following statements regarding the Depository System in India is factually accurate?

(A) Investors maintain electronic securities accounts directly with NSDL and CDSL without needing intermediaries
(B) National Securities Depository Limited (NSDL) was promoted primarily by the Bombay Stock Exchange (BSE)
(C) Depository Participants (DPs) such as commercial banks and stock brokers serve as the direct interface between investors and the depository
(D) Dematerialisation refers to the conversion of electronic shares back into physical certificates

Sol. Q13. Depository Architecture:

- Investors never interact directly with NSDL or CDSL; they interact through **Depository Participants (DPs)** such as banks or brokers.
- NSDL was promoted by NSE, IDBI, and UTI; CDSL was promoted by BSE and SBI.
- Converting electronic shares into physical form is **Rematerialisation**, while physical to electronic is **Dematerialisation**.

Therefore, Option C is completely accurate. **Answer: (C)**

Q14. Why does an unlisted corporate enterprise often opt for 'Private Placement' of debt or equity securities rather than issuing shares to the public through an 'Offer through Prospectus'?

(A) Private placement allows the firm to raise capital much faster while avoiding massive floatation costs and extensive public disclosure requirements
(B) Private placement legally exempts the company from ever paying returns or dividends
(C) Private placement is conducted exclusively through the Reserve Bank of India
(D) Private placement eliminates all underwriting and merchant banking advice

Sol. Q14. Advantages of Private Placement:

- Public issues (Offer through Prospectus) require heavy underwriting commissions, advertising, prospectus printing, and prolonged regulatory approvals.
- **Private Placement** allocates securities directly to selected institutional investors (LIC, mutual funds), enabling the firm to **raise capital rapidly with minimal floatation costs**.

Therefore, Option A correctly explains the strategic rationale. **Answer: (A)**

Q15. In an electronic stock market, the time interval between the execution of a trade and the final transfer of funds to the seller and securities to the buyer is governed by rolling settlement. In India, equity trades are currently settled on a:

(A) T+5 rolling settlement basis
(B) T+3 rolling settlement basis
(C) T+2 rolling settlement basis
(D) T+1 rolling settlement basis

Sol. Q15. Rolling Settlement Standard in India:

- India migrated from T+2 to a nationwide **T+1 rolling settlement basis** for all listed equity securities in January 2023.
- Under T+1, settlement (funds pay-out and securities delivery) occurs on the very next business day after the trade transaction date.

Therefore, Indian equity trades settle on a **T+1 rolling settlement basis** (Option D). **Answer: (D)**